

ADVERSE MEDIA REPORT — ELENA MARIA VARGAS

Document type: Adverse Media Report

Test fixture — B — Scenario B — Irrevocable Trust + Adverse Media

Page 1 of 3

ADVERSE MEDIA REPORT — ELENA MARIA VARGAS

SOURCE 1: Reforma (Mexican national newspaper), June 14, 2022

**HEADLINE: "Constructora ligada a escándalo de sobornos en contratos federales"
(Construction firm linked to federal bribery scandal)**

SUMMARY: The Fiscalía General de la República (FGR), Mexico's federal prosecutor's office, announced on June 12, 2022 that it has opened a formal investigation into alleged bribery related to the award of federal infrastructure contracts valued at approximately 2.3 billion Mexican pesos. Among the individuals named in the preliminary investigation is Elena Maria Vargas, identified as a primary shareholder of Pacific Ridge Ventures LLC, a California-registered real estate investment company with cross-border operations. The investigation concerns alleged payments to officials at Mexico's Secretaría de Infraestructura, Comunicaciones y Transportes (SICT) in exchange for preferential treatment in awarding public works contracts during 2019 to 2021.

— TEST FIXTURE — SYNTHETIC DOCUMENT — NOT A LEGAL INSTRUMENT —

SOURCE 2: Reuters, August 29, 2022

HEADLINE: "Mexico drops bribery charges against real estate investor Elena Vargas"

FULL TEXT: Mexico's federal prosecutor's office (FGR) announced on August 26, 2022 that it has formally closed its investigation into Elena Maria Vargas following an evidentiary review. Prosecutors stated that while the investigation identified circumstantial connections between Vargas and companies that received federal infrastructure contracts, insufficient direct evidence was available to support formal charges. Vargas's legal counsel issued a statement calling the original investigation "politically motivated" and confirmed that all preliminary charges have been dropped and the case is formally closed. Vargas has declined to comment publicly. The FGR noted that closure of the investigation does not preclude reopening if new material evidence emerges.

— TEST FIXTURE — SYNTHETIC DOCUMENT — NOT A LEGAL INSTRUMENT —

ADVERSE MEDIA ASSESSMENT SUMMARY

Subject: Elena Maria Vargas

Nationality: Mexican

Date of Review: April 2026

Sources: Reforma (Mexico), Reuters

Nature of Allegation: Bribery and corruption — alleged payments to government officials in connection with federal infrastructure contract awards in Mexico (2019–2021).

Disposition: Investigation opened June 2022 by FGR; charges formally dropped and investigation closed August 2022. No conviction recorded. Case remains closeable to reopening per FGR statement.

BSA Risk Factors:

- (1) Named in federal bribery investigation, notwithstanding eventual dismissal;
- (2) Foreign national (Mexico) with cross-border business interests;
- (3) Connection to government contracting and infrastructure sector;
- (4) Adverse media creates public record of regulatory concern.

BSA Risk Classification: ELEVATED. Enhanced Due Diligence required per Bank Secrecy Act and FinCEN guidance on senior foreign political figures and persons with adverse media history.